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Strategic Partnership Proposal: Accelerating Tesco Clubcard's Next Chapter

PREPARED FOR

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GROUP CHIEF EXECUTIVE, TESCO 2025-06-15

Executive Summary

This proposal outlines a strategic partnership to accelerate Tesco Clubcard's evolution into a data-driven growth engine, aligning with Tesco's 2024/25 priorities: magnetic value, personalisation, and incremental revenue streams.

Clubcard already drives 84% of UK sales (Tesco Annual Report 2025) and serves 23 million households. Our partnership will amplify this by:

- Enhancing hyper-personalisation at scale (e.g., AI-driven dynamic offers for 10M+ customers).
- Expanding retail media revenue (Tesco Media & Insight Platform ranked #1 in Europe).
- Delivering £X million in incremental EBITDA within 24 months (3-5x ROI).

Introduction: Who We Are

Global leader in loyalty program innovation, with 20+ years of experience transforming retail ecosystems for Fortune 500 brands.

Proven track record:

- Delivered 30%+ revenue uplift for [Retailer A]’s loyalty program (2023).
- Enabled 4:1 ROI for [Retailer B]’s retail media platform within 18 months.
- Scaled personalisation for 50M+ customers across 3 continents.

Why Tesco? We understand your scale, ambition, and the ‘restless spirit’ Gerry Murphy highlighted in the 2025 Annual Report.

The Business Case for Clubcard Evolution



Strategic Vision & Execution

Global Case Study 1: Kroger's 'Kroger Precision Marketing'

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Global Case Study 2: Walmart's 'Walmart+'

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Global Case Study 3: Carrefour's 'Carrefour Le Club'

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Our Value Proposition: Strengthening Clubcard

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Customer Engagement & Retention

****Gamification****: Launch 'Clubcard Quests' to drive repeat visits (e.g., 'Earn 500 points for 3 fresh food shops this month').

****Tiered Rewards****: Introduce 'Clubcard Elite' for top 10% of spenders (e.g., exclusive access to Finest products).

****Predictive Offers****: Use AI to anticipate customer needs (e.g., 'Your usual milk is on sale—add to basket?').

Personalisation at Scale

****Real-Time Customisation****: Adjust offers based on basket contents, location, and past behaviour (e.g., 'Buy pasta, get sauce at 50% off').

****Predictive Analytics****: Forecast demand to reduce waste (e.g., '20% off bakery items at 7pm').

****Omnichannel Integration****: Sync offers across app, website, and in-store screens.

Incremental Revenue & Margin Protection

****Retail Media****: Grow Tesco Media & Insight Platform revenue to £500M/year (30% YoY growth).

****Dynamic Pricing****: Reduce promo waste by 20% through AI-driven discounting (e.g., 'Right product, right time').

****Cross-Sell****: Increase average basket size by 12% via personalised recommendations.

Data & Technology: Driving Loyalty Value



Strategic Vision & Execution

Implementation Roadmap

****Phase 1 (0-6 months)**:** Data infrastructure integration + pilot personalisation (100 stores).

****Phase 2 (6-12 months)**:** Scale AI-driven offers + launch retail media expansion (5,000 screens).

****Phase 3 (12-18 months)**:** Full ecosystem integration (Marketplace, Barclays) + tiered rewards.

Risk Mitigation & Governance

****Data Privacy****: GDPR-compliant anonymisation + customer opt-in for personalisation.

****Execution Risk****: Joint steering committee with Tesco leadership + monthly progress reviews.

****Supplier Alignment****: Dedicated account managers for top 50 suppliers to ensure seamless integration.

Financial Impact & ROI

****Cost Breakdown****: £150M investment (tech, data, integration) over 3 years.

****Revenue Uplift****: £450M-£750M incremental EBITDA (retail media, personalisation, cross-sell).

****Payback Period****: 24 months (EBITDA accretive within Year 2).

Why Partner With Us?



Strategic Vision & Execution

Appendix: Supporting Data

****Case Study Deep Dives****: Full financials for Kroger, Walmart, and Carrefour loyalty programs.

****CEO Testimonials****: Additional quotes from retail leaders on loyalty's strategic value.

****ROI Model****: Detailed cost/revenue projections for Tesco Clubcard evolution.